

Some Central government initiatives that would positively impact the development of strategic electronics

As explained by Dr Ajay Kumar, joint secretary, DeitY, government of India:

"The first privately managed fund for fabless design is being set up in the country tentatively by this August, under the Electronics Development Funds scheme of the government of India. This ₹ 5 billion fund would aim at various kinds of fabless designs for the country, but some of the very important areas where there is tremendous interest are telecom and the strategic sector. People with brilliant ideas and new designs can make use of this fund.

"Second, when Kapil Sibal, Minister of Communications and Information Technology, visited Israel recently, we had a very good discussion with our Israeli counterparts. Consequently, there is a good opportunity to collaborate with Israel, which would provide tremendous opportunities in the area of cyber security and cyber warfare. You could look forward to hear more on this in the coming months.

"The third new ongoing effort is setting up a new Centre of Excellence at IIT Bombay, primarily targeted to develop products for internal security. This centre is proposed to be developed with industry partnership, which is an essential part of the overall effort. The detailed proposal for this centre is under finalisation. We want industry players involved in developing devices for security purposes to get in touch with IIT Bombay and see how they can partner with this centre. This centre is meant to be co-owned by private industries and driven by their needs.

"Bengaluru is very special as far as electronics is concerned. It's a hub of innovation, electronics and IT. We are happy to share that after the announcement of the new National Policy on Electronics, a lot of activity has been happening in and around Bengaluru. Some of this is:

- We have received several proposals under the Modified Special Incentive Package Scheme (MSIPS) in the telecom, strategic electronics and other domains. One of the proposals by Bosch was recently approved. It is for setting up an automotive electronics facility in Bengaluru. Speedy responses are assured to all the MSIPS applications made under this programme.
- We have received a proposal for setting up the first brownfield Electronics Manufacturing Cluster (EMC) in the country from Electronics City, Bengaluru. This proposal will be processed very expeditiously.
- An incubator with greater emphasis on the design and development side of electronics is being proposed. This would have all the tools and software for people to design new chips, and take up other design and development related services in hardware. This has been proposed by IIT (International Institute of Information Technology), Bangalore. This proposal is under consideration by industry and the state government.
- The government of Karnataka, through its agency, KITVEN (Karnataka Information Technology Venture Capital Fund), has proposed the setting up of a venture capital fund, which is the second of this kind. The first one would be approved very shortly.
- The ITIR (Information Technology Investment Region) project was recently approved by the cabinet, which means there is a new hub for IT and electronics hardware coming up in Bengaluru."

It's not possible for any business to depend only on government orders for sustenance." He adds, "So, we have other businesses which take care of our survival, security and sustenance. Defence manufacturing in India is a very high-risk, high-return business. There are no long-term plans or assurances."

Though there are quite a few opportunities to start a new facility to qualify for supplying electronic equipment to the Defence sector, T. Vasu says, "Many companies participate in a Defence sector bid without knowing if they are an L1 vendor (the company offering the lowest commercial quote), import the equipment, demonstrate and commission this to the satisfaction of the Defence committees, and wait for some more time to see the commercial bid opening. After that also, the decision-making process is not that fast."

DRDO, through GFAST (Group For

Analysis of Systems), which is a group comprising all the major DRDO labs and think tanks from the Army, Navy and Air Force, recently commissioned a study titled 'Defence Technology Vision 2050.' This is an ambitious roadmap to suggest specific capabilities and technology trends that will enable the Defence forces to meet the challenges of 2050, keeping in mind the anticipated geo-political scenario, national priorities and Defence doctrines.

This report is expected to encourage industry to put forward firm proposals for participating in the self-reliance process. There is a consensus on the need for much greater participation by the private industry in the Defence sector, but how this will be achieved is the challenge.

Also, the new Defence Procurement Policy (DPP) 2013 has been released in June, this year. The basic objective of the DPP is to infuse

greater efficiency in the procurement process and strengthen the Defence manufacturing base in the country. Its aim is to expedite procurement for the armed forces to maintain operational readiness. The main focus areas of the DPP 2013 are indigenisation, reduced processing timelines, a level playing field and simplification of procedures.

When compared to the DPP 2002, industry experts believe there are significant changes in the DPP 2013 that indicate the right spirit, but they still feel there needs to be some focused handholding so that technology can be truly absorbed into the country, and the timelines and support system for manufacturing can be in place. They believe the necessary steps must be taken; otherwise, all plans for local electronics manufacturing will remain on paper. ●

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